

Sources of Investment Advice and Supervision. Supervision of securities involves the question of who should do it as well as how to do it. Investors have the choice of various agencies for this purpose, of which the more important are the following:

1. The investor himself.
2. His commercial bank.
3. An investment banking (or underwriting) house.
4. A New York Stock Exchange firm.
5. The advisory department of a large trust company.
6. Independent investment counsel or supervisory service.

The last two agencies charge fees for their service, whereas the three preceding supply advice and information gratis.⁵

Advice from Commercial Bankers. The investor should not be his own sole consultant unless he has training and experience sufficient to qualify him to advise others professionally. In most cases he should at least supplement his own judgment by conference with others. The practice of consulting one's bank about investments is widespread, and it is undeniably of great benefit, especially to the smaller investor. If followed consistently it would afford almost complete protection against the hypnotic wiles of the high-pressure stock salesman and his worthless "blue sky" flotations.⁶ It is doubtful, however, if the commercial banker is the most suitable adviser to an investor of means. Although his judgment is usually sound, his knowledge of securities is likely to be somewhat superficial, and he cannot be expected to spare the time necessary for a thoroughgoing analysis of his clients' holdings and problems.

Advice from Investment Banking Houses. There are objections of another kind to the advisory service of an investment banking house. An institution with securities of its own to sell cannot be looked to for entirely impartial guidance. However ethical its aims may be, the compelling force of self-interest is bound to affect its judgment. This is particularly true when

⁵ A growing number of Stock Exchange firms now supply investment advice on a fee basis.

⁶ Under S.E.C. supervision the "blue-sky flotation" of the old school has largely disappeared from interstate commerce, its place being taken by small but presumably legitimate enterprises which are sold to the public at excessively high prices. Numerous other types of fraud are still fairly prevalent, as can be seen from the 1938 report of the Better Business Bureau of New York City.